TERM PROJECT DETAILS

Submission Deadlines

Part 1 (Ratio Analysis): September 28th, 2026

Parts 2 & 3 (Final Submission) and Presentation: November 30, 2026 at 12:00 PM

Naming and Submission Format

- Label your submission using the following format:
    - Group [#]-[Company Ticker]-[SURNAME1][SURNAME2][SURNAME3]
    - *Example: "Group 1-Walmart-FisherMerbothFenza"*
- Include the group number and company name clearly in your submission.
- List only group members who actively participated in the project on the first page or first worksheet.
- Submit one file per group. Submissions may be in .xlsx (Excel), .docx (Word), or .pdf format.
- If submitting data in a separate Excel file, this will increase your opportunity for receiving partial credit.

Company Assignment

Your assigned company is listed in the Group Assignment table below. Each group will analyze one company throughout all three parts of this project.

Data Sources

- Obtain financial data from the following sources:
    - EDGAR (SEC filings)
    - WRDS COMPUSTAT database
    - Company websites (investor relations section)
- Download balance sheets and income statements for the fiscal years 2020–2024. (Note: 2025 data may not be fully available; use 2024 as the most recent year.)
- Consult footnotes and additional sections of financial statements for details such as outstanding shares, contingencies, and accounting policies.

Part 1: Ratio Analysis

- Calculate all ratios listed below and present results in separate, clearly labeled tables suitable for merging with other groups' data.
- Write a comprehensive report with the following seven subsections:
    - General Overview

- Liquidity Analysis
- Efficiency Analysis
- Debt Analysis
- Profitability Analysis
- DuPont Analysis
- Market Ratios (note the specific date used for stock price)

- Each subsection must conclude with at least one clear, reasoned insight or recommendation. If no recommendation applies, write "No further recommendation."

Required Ratios:

LIQUIDITY

- Current Ratio
- Acid Test Ratio
- Cash Ratio

EFFICIENCY

- Total Asset Turnover
- Inventory Turnover
- Days Inventory Outstanding
- Accounts Receivable Turnover
- Average Collection Period
- Accounts Payable Turnover
- Average Payment Period
- Operating Cycle
- Cash Conversion Cycle

DEBT

- Debt Ratio
- Short-Term Debt Ratio
- Times Interest Earned

PROFITABILITY

- Gross Profit Margin
- Operating Profit Margin
- Net Profit Margin
- Operating Return on Total Assets
- Return on Equity
- Return on Assets

MARKET

- Price-to-Earnings Ratio
- Price-to-Book Ratio

- Market-to-Book Ratio

Part 2: Financial Forecasting

- Prepare pro forma financial statements for the fiscal year following your most recent data year.
- Create a pro forma balance sheet and pro forma income statement using forecasts based on historical trends and reasonable assumptions.
- These forecasts will serve as the foundation for Part 3. Document all assumptions clearly.

Part 3: Company Valuation

- Calculate the intrinsic (theoretical) stock price using two valuation methods: Dividend Discount Model (DDM) and Free Cash Flow to Firm (FCFF).

Required Assumptions and Calculations:

- To conduct your valuation, make and document the following assumptions:

  - Annual revenue growth rate (based on historical analysis)
  - Cost of Goods Sold (COGS) margin
  - Operating expense margin
  - Average effective tax rate
  - Average economic life of assets (to determine annual depreciation)
  - Average fixed asset turnover rate
  - Average change in cash and cash equivalents
  - Average accounts receivable turnover rate
  - Average inventory turnover rate (skip if the company has no inventory)
  - Average current ratio (to project short-term liabilities)
  - Forecast horizon: 6 years
  - Weighted Average Cost of Capital (WACC), calculated with rational assumptions based on the company's capital structure and current macroeconomic conditions (inflation, risk-free rate, equity risk premium)
  - Terminal growth rate, calculated using ROE × (1 – retention ratio). If this rate exceeds WACC, use 3% instead. Show your calculation and reasoning.
  - Annual capital expenditures (CapEx) and net working capital (NWC) changes, derived from asset and liability forecasts
  - NWC is calculated as: Current Assets – Current Liabilities
  - Number of outstanding shares (search company filings or financial websites)

- Determine the intrinsic stock price by dividing the total enterprise value (or equity value) by the number of outstanding shares.

Formatting and Submission Requirements

File Format: Submit in Excel (.xlsx), Word (.docx), or PDF format.

Report Length: Part 1 report: 8–12 pages (double-spaced, 12-point font, standard margins).

Font and Spacing: Use Times New Roman or Calibri, 12-point font, double spacing, 1-inch margins.

Tables and Calculations: Show all formulas and calculations. Ratios should be rounded to two decimal places unless otherwise specified.

Sources and Citations: Cite all sources using APA format. Include a reference list for all financial data sources and external references.

Presentation Format: Prepare a 12 minutes group presentation. Include slides for each section and be prepared to discuss methodology and findings for 3 minutes as Q&A.

Visibility of Work: All calculations and intermediate steps must be visible (either in tables or Excel formulas). Partial credit requires transparent methodology.

Academic Integrity

- All work must be original. Proper attribution is required for any external data, formulas, or ideas. Plagiarism or misrepresentation of work will result in a failing grade for this project and may have additional academic consequences.

Grading Breakdown

Part 1: Ratio Analysis: 25%
Part 2: Financial Forecasting: 25%
Part 3: Company Valuation: 25%
Presentation: 25%

Group Assignment Table

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